

own a lot of their stock. But their competitors will usually talk freely about them.

It's like trying to find out about a young lady you are interested in. If you ask her mother, you are certainly going to get a different perspective than you would if you asked the boyfriend she just broke up with. We like to hear what the old boyfriend has to say.

Sometimes management impresses me so strongly that I'll make a bet on the people even if the numbers don't meet my usual requirements. A couple of years ago I bought the stock of a new company called Catalyst Energy, put together by former Salomon Brothers investment bankers to develop hydroelectric plants and cogeneration facilities. The company was finally earning a few pennies, but with the stock at 11, the P/E was astronomical. It was also nearly impossible to predict what the company might earn in the future. For me it was a poetic stock, a bet on management. I had a feeling they were onto something, and at first the enterprise and the stock did well. But then the company went downhill and, eventually, into bankruptcy. What happened? The executives began to feel rich and, while indulging in the perks of wealth, neglected the business before it was sufficiently established.

Financial Strength

Financial strength—low debt, adequate working capital, conservative accounting—makes corporate growth sustainable.

First, look at a company's balance sheet to see if there's too much debt, or rising debt. There's nothing wrong with debt per se; it's one way you can expand a company rapidly. What constitutes too much of it is a function of the kind of company you're looking at. A consumer loan company, for example, has to carry a debt load that would be totally inappropriate for a cyclical manufacturing company. If you're the latter with a heavy load of debt, you'll go broke when demand slackens, and that's a very bad idea for shareholders. You read in